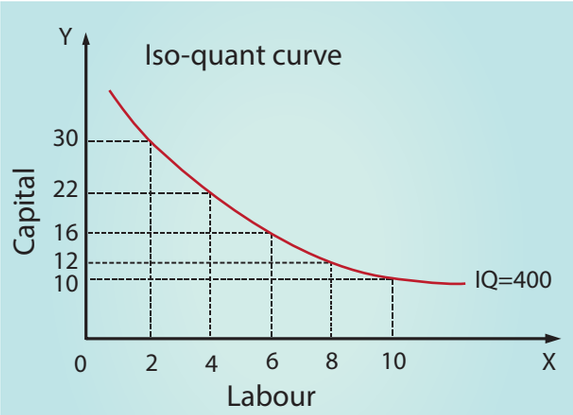


Diagram 3.3

are capable of producing the same level of output. An iso-product curve can be drawn with the help of isoquant schedule.

3.8.3 Iso-quant Map

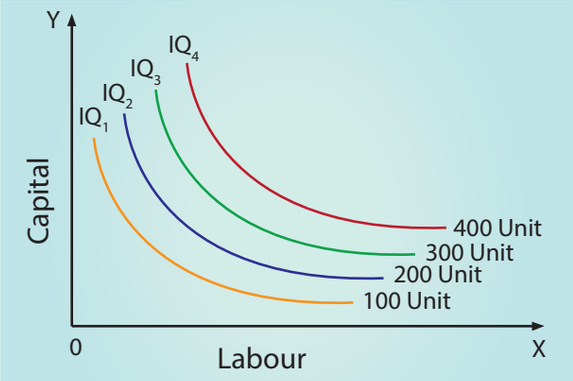


Diagram 3.4

An iso-quant map has different iso-quant curves representing the different combinations of factors of production, yielding different levels of output. In simple terms, an iso-quant map is a family of iso-quants. In other words, if more than one iso-quant is drawn in a diagram, it is called iso-quant map.

3.8.4 Properties of Iso-quant Curve

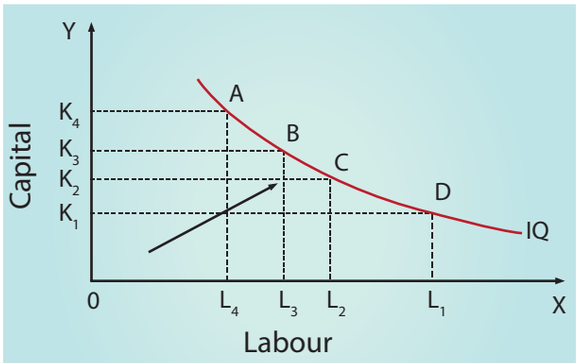


Diagram 3.5

1. ***The iso-quant curve has negative slope***. It slopes downwards from left to right indicating that the factors are substitutable. If more of one factor is used, less of the other factor is needed for producing the same level of output.

   In the diagram combination A refers to more of capital K_4 and less of labour L_4. As the producer moves to B, C, and D, more labour and less capital are used.

2. ***Convex to the origin.***

   This explains the concept of diminishing Marginal Rate of Technical Substitution ($MRTS_{LK}$). For example, the capital substituted by 1 unit of labour goes on decreasing when moved from top to bottom. If so, it is called diminishing MRTS. Constant MRTS (straight line) and increasing MRTS (concave) are also possible. It depends on the nature of iso-quant curve.

   This means that factors of production are substitutable to each other. The capital substituted per

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